

B.C.A. (SEM. II) EXAMINATION, 2026

SESSION 2025–28 | PAPER CODE: 211605 (2BCA5)

Subject: Financial Accounting

Full Marks: 100 | **Pass Marks:** 40

Time Allowed: 3:00 Hours

Examination Instructions: Candidates are required to give their answers in their own words as far as practicable. All questions carry equal value (20 Marks each). Answer any five questions.

QUESTION 1: What is accounting? Explain its objectives and the role it plays in a business organisation.

1. Definition of Accounting

Accounting is defined by the American Institute of Certified Public Accountants (AICPA) as 'the art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof.' In modern business, accounting serves as the primary financial information system that collects, processes, and communicates quantitative economic data to facilitate informed decision-making.

2. Objectives of Accounting

- **Systematic Maintenance of Records:** Replaces human memory by recording financial transactions systematically in chronological order in Journals and classifying them in Ledgers.
- **Ascertainment of Financial Performance (Profit or Loss):** Matches revenues earned against expenses incurred during an accounting period in the Trading and Profit & Loss Account to calculate Net Profit or Net Loss.
- **Ascertainment of Financial Position:** Prepares a Balance Sheet at the end of the accounting period to reveal total Assets, Liabilities, and Capital equity.
- **Providing Information to Stakeholders:** Communicates transparent financial reports to internal users (managers, executives) and external users (investors, creditors, banks, tax authorities).
- **Protecting Business Assets:** Keeps proper custody and records of cash, inventory, property, and receivables to prevent misappropriation, theft, and fraud.

3. Role of Accounting in a Business Organisation

Accounting plays a multifaceted role in contemporary business entities:

- **Planning and Budgeting:** Provides historical data and forecasts that enable management to formulate operational budgets and strategic capital expansion plans.
- **Decision Support System:** Assists leadership in product pricing, cost control, make-or-buy decisions, and profitability evaluations across departments.
- **Statutory & Legal Compliance:** Ensures adherence to statutory regulations, including Income Tax filings, Goods and Services Tax (GST) returns, and Companies Act mandates.

- **Stewardship and Credibility:** Establishes trust with lenders, shareholders, and financial institutions when seeking loans or equity investments.

QUESTION 2: What are source documents? Explain the importance of invoices, receipts and bills in accounting records.

1. Definition and Meaning of Source Documents

Source Documents (also known as prime vouchers or supporting documents) are the original written or electronic evidence that document the details of a financial transaction. Under the *Verifiability and Objectivity Principle* of accounting, no entry is permitted in the books of account without a valid supporting source document. Examples include invoice copies, cash receipts, bank pay-in slips, debit notes, credit notes, and salary sheets.

2. Importance of Specific Source Documents

Source Document	Primary Description & Function	Accounting Significance & Record Keeping
Invoices (Sales / Purchase Invoice)	Issued by a seller to a buyer when goods or services are sold on credit. Details item description, quantity, rate, trade discount, GST, and net amount payable.	Serves as credit sales evidence for the seller (Debtors Dr) and credit purchase evidence for the buyer (Purchases Dr / Creditors Cr). Required for GST Input Tax Credit (ITC) verification.
Receipts (Payment Receipt)	A legal acknowledgment issued when cash, cheque, or online payment is received from a customer or debtor. Contains date, payee name, amount, and receiver signature.	Proves debt settlement or cash influx. Used to credit Customer Accounts in the Ledger and debit the Cash/Bank Account, preventing double-billing disputes.
Bills / Cash Memos	A written document issued during immediate cash sales or cash purchases of goods and services.	Acts as direct proof of cash transactions. Form the basis for entering immediate Cash Receipts or Cash Payments directly into the Cash Book.

Core Importance in Accounting Records: Source documents establish an unimpeachable **audit trail**, eliminate bias and fraud, provide documentary evidence during statutory tax assessments and court proceedings, and ensure arithmetical accuracy during journalization.

QUESTION 3: Define ledger. Explain posting from journal to ledger and state the importance of ledger accounts.

1. Definition of Ledger

The **Ledger** is known as the '*Principal Book of Accounts*'. It is a bound register or digital database containing all individual personal, real, and nominal accounts of a business. While the Journal records transactions chronologically, the Ledger classifies and collects all transactions related to a specific head of account in one place.

2. Process of Posting from Journal to Ledger

- **Identify Accounts:** Locate the accounts debited and credited in the Journal entry.
- **Debit Side Posting:** Open the debited account in the Ledger. On its Dr. side, enter the Date, Journal Folio (J.F.), and write the name of the credited account prefixed with 'To'.
- **Credit Side Posting:** Open the credited account in the Ledger. On its Cr. side, enter the Date, J.F., and write the name of the debited account prefixed with 'By'.
- **Balancing the Ledger:** At the end of the period, calculate total Debit and Credit sides. Insert 'By Balance c/d' on the shorter side to equalize totals, and bring it down as 'To Balance b/d' for the next period.

3. Illustrative Ledger Account Format (T-Account)

Date				Date			
2026 Apr 1	To Capital A/c	J- 1	50,000	2026 Apr 3	By Furniture A/c	J- 1	10,000
2026 Apr 10	To Sales A/c	J-2	20,000	2026 Apr 15	By Rent A/c	J-2	5,000
				2026 Apr 30	By Balance c/d		55,000
TOTAL			70,000	TOTAL			70,000
2026 May 1	To Balance b/d		55,000				

4. Importance of Ledger Accounts

- **Complete Summarization:** Provides instantaneous balances for any account (e.g., total owed by a debtor or balance in bank).
- **Preparation of Trial Balance:** The balances extracted from ledger accounts form the basis for preparing the Trial Balance to test mathematical accuracy.
- **Final Accounts Preparation:** Essential for constructing Trading & Profit & Loss Accounts (nominal balances) and Balance Sheet (real & personal balances).

QUESTION 4: Explain the following: (a) Capital & Revenue Expenditure, (b) Assets & Liabilities, (c) Gross & Net Profit, (d) Outstanding & Prepaid Expenses.

Financial Concept Category	Core Definition & Accounting Treatment	Key Examples
(a) Capital vs. Revenue Expenditure	Capital Expenditure: Non-recurring outlay incurring long-term economic benefits (>1 year) or increasing asset earning capacity. Shown as Asset on Balance Sheet. Revenue Expenditure: Recurring operational expenses incurred to maintain daily business operations and existing earning capacity. Charged to P&L; Account.	• Capital: Purchase of plant, machinery, land, building extensions. • Revenue: Rent, salaries, machine repairs, electricity bills.

Financial Concept Category	Core Definition & Accounting Treatment	Key Examples
(b) Assets vs. Liabilities	Assets: Economic resources owned/controlled by the entity yielding future economic inflows (Current & Fixed Assets). Liabilities: Present financial obligations arising from past events that require future resource outflows (Current & Long-term Debt).	• Assets: Cash, Debtors, Stock, Furniture, Machinery. • Liabilities: Bank Loan, Creditors, Bills Payable, Outstanding Wages.
(c) Gross Profit vs. Net Profit	Gross Profit: Excess of Net Sales revenue over Cost of Goods Sold (COGS). Derived from Trading Account. Net Profit: Residual profit remaining after deducting all indirect operating/non-operating expenses, interest, and tax from Gross Profit. Derived from P&L; Account.	• Gross Profit = Net Sales - COGS • Net Profit = Gross Profit + Indirect Income - Operating & Administrative Expenses.
(d) Outstanding vs. Prepaid Expenses	Outstanding Expenses: Expenses incurred during the period but remain unpaid at year-end (Accrued Liability). Added to expense in P&L; and shown under Liabilities. Prepaid Expenses: Expenses paid in advance for future accounting periods. Deducted from expense in P&L; and shown under Current Assets.	• Outstanding: Unpaid salary for March 2026. • Prepaid: Insurance premium paid in advance for next 6 months.

QUESTION 5: What is a journal? Explain the rules of debit and credit and give suitable examples of journal entries.

1. Definition of Journal

A **Journal** is the primary book of accounting, often called the '*Book of Original Entry*' or '*Day Book*'. Transactions are recorded in chronological order (date-wise) from source documents, showing the accounts to be debited and credited along with a brief explanation called a **narration**.

2. Rules of Debit and Credit

Account Classification	Golden Rule (Traditional Approach)	Modern Rule (ACID/CLEAR Framework)
Personal Accounts (Persons, Firms, Companies)	Debit the Receiver Credit the Giver	Assets / Expenses: • Increase = Debit (+) • Decrease = Credit (-)
Real Accounts (Assets and Properties)	Debit what comes in Credit what goes out	Liabilities / Capital / Revenue: • Increase = Credit (+) • Decrease = Debit (-)
Nominal Accounts (Expenses, Losses, Income, Gains)	Debit all expenses & losses Credit all incomes & gains	Drawings: • Increase = Debit (+)

3. Practical Examples of Journal Entries

Date	Particulars (Account Heads & Narration)	L.F.	Debit (₹)	Credit (₹)
2026 Apr 1	Cash A/c Dr. To Capital A/c (Being business started with cash capital)	J-1	1,00,000	1,00,000
2026 Apr 5	Machinery A/c Dr. To Bank A/c (Being machinery purchased via cheque)	J-1	35,000	35,000
2026 Apr 10	Purchases A/c Dr. To M/s Sharma & Sons (Being goods purchased on credit)	J-1	20,000	20,000
2026 Apr 18	M/s Verma Traders Dr. To Sales A/c (Being goods sold on credit)	J-2	15,000	15,000
2026 Apr 30	Salary A/c Dr. To Cash A/c (Being staff salary paid in cash)	J-2	8,000	8,000

QUESTION 6: What is a cash book? Describe single-column, double-column and triple-column cash books.

1. Definition of Cash Book

A **Cash Book** is a special subsidiary book used to record all transactions involving cash receipts and cash payments. It serves a dual purpose: it acts as a **Book of Original Entry** (Journal) as well as a **Ledger Account** (Cash Account). When a Cash Book is maintained, a separate Cash Account in the ledger is unnecessary.

2. Detailed Classification of Cash Books

Cash Book Type	Structural Columns & Features	Practical Application & Contra Entries
Single-Column Cash Book (Simple Cash Book)	Has only one amount column (Cash) on both Debit (Receipts) and Credit (Payments) sides alongside Date, Particulars, V.No., and L.F.	Used by small sole proprietorships or retail shops that conduct transactions exclusively in cash and maintain no bank operations.
Double-Column Cash Book (Two-Column Cash Book)	Features two amount columns on each side: (1) Cash Column and (2) Bank Column (or Cash & Discount).	Used by firms maintaining bank accounts. Records Contra Entries (C) when cash is deposited into bank or withdrawn from bank for office use.
Triple-Column Cash Book (Three-Column Cash Book)	Features three amount columns on each side: (1) Cash , (2) Bank , and (3) Discount (Discount Allowed on Dr., Discount Received on Cr.).	Used by modern trading concerns. Allows simultaneous tracking of cash receipts, bank settlements, and immediate cash/trade settlement discounts.

QUESTION 7: What are accounting concepts and conventions? Explain any five important concepts with examples.

1. Distinction Between Concepts and Conventions

Accounting Concepts are basic assumptions, postulates, and fundamental conditions upon which financial accounting is founded. **Accounting Conventions** are customs, traditions, and accepted practices followed as guidelines when preparing financial statements. Together, they form the *Generally Accepted Accounting Principles (GAAP)*.

2. Five Important Accounting Concepts Explained

Accounting Concept	Core Explanation & Logic	Practical Business Example
1. Business Entity Concept	Treats the business as a distinct legal entity separate from its owners. Personal transactions of the proprietor are never mixed with business accounts.	Capital invested by owner is treated as a Liability of the firm. Owner's personal expenses paid from business funds are debited as Drawings .
2. Going Concern Concept	Assumes the business enterprise will continue operating indefinitely in the foreseeable future and will not liquidate soon.	Fixed assets are recorded at historical cost less depreciation rather than their immediate net realizable (liquidation) value.
3. Money Measurement Concept	Only those transactions and economic events that can be expressed in monetary terms are recorded in accounting books.	Employee skills, workplace morale, or management quality are excluded from financial statements despite their high strategic value.
4. Accounting Period Concept	Divides the continuous life of a business into standard artificial time intervals (e.g., April 1 to March 31) to measure profit periodically.	Preparation of annual Final Accounts (P&L; and Balance Sheet) to determine annual performance and tax liabilities.
5. Dual Aspect Concept	Every transaction has a dual effect on two or more accounts. Basis of double-entry bookkeeping. Formula: Assets = Liabilities + Capital	If goods worth ₹10,000 are bought on credit: Stock Asset increases by ₹10,000 and Creditors Liability increases by ₹10,000.

QUESTION 8: What is a voucher? Explain the main types of accounting vouchers and their uses.

1. Definition of Accounting Voucher

An **Accounting Voucher** is an internal written document prepared by an accountant, supported by source documents, that authorizes the entry of a financial transaction into the accounting software or books. It specifies the date, transaction amount, and exact accounts to be debited and credited, verified by authorized signatories.

2. Main Types of Accounting Vouchers and Uses

Voucher Type	Nature & Supporting Documents	Primary Uses in Accounting System
Payment Voucher (Debit Voucher)	Prepared when cash or bank payments are made. Supported by vendor bills, wage sheets, and cash receipts.	Records cash/bank payments for expenses, vendor debt settlements, asset purchases, and owner drawings.

Voucher Type	Nature & Supporting Documents	Primary Uses in Accounting System
Receipt Voucher (Credit Voucher)	Prepared upon receiving cash or bank funds. Supported by counterfoils of receipts, cash memos, and bank pay-in slips.	Records cash or bank receipts from sales revenue, debtor bill collections, interest income, and capital additions.
Non-Cash Voucher (Journal / Transfer Voucher)	Used for transactions that do not involve immediate cash or bank movement.	Records non-cash transactions including depreciation charges, credit sales/purchases, bad debt write-offs, and rectifications.
Contra Voucher	Internal voucher used when funds move between cash and bank within the same business entity.	Records cash deposits into bank, cash withdrawals from bank for office use, and inter-bank transfers.

QUESTION 9: Prepare a double-column cash book from any 15 suitable transactions involving cash and bank, and show the closing balances.

1. List of 15 Transactions for April 2026

- **Apr 1:** Commenced business with Cash ₹50,000 and Bank Balance ₹1,00,000.
- **Apr 3:** Purchased goods for cash ₹12,000.
- **Apr 5:** Sold goods for cash ₹18,000.
- **Apr 7:** Deposited cash into bank ₹15,000 (*Contra Entry - C1*).
- **Apr 10:** Received cheque from Ramesh ₹25,000 and deposited into bank same day.
- **Apr 12:** Paid rent by cheque ₹8,000.
- **Apr 15:** Paid staff salaries in cash ₹6,000.
- **Apr 18:** Withdrew cash from bank for office use ₹10,000 (*Contra Entry - C2*).
- **Apr 20:** Purchased office stationery by cash ₹1,500.
- **Apr 22:** Sold goods on cheque ₹30,000 (deposited into bank).
- **Apr 24:** Paid electricity bill by cheque ₹3,200.
- **Apr 25:** Paid supplier M/s Gupta Bros by cheque ₹14,000.
- **Apr 27:** Received cash from Suresh ₹8,500.
- **Apr 28:** Paid insurance premium via bank transfer ₹4,000.
- **Apr 30:** Withdrew cash from bank for personal use (Drawings) ₹5,000.

2. Solved Double-Column Cash Book

Date					Date				
Apr 1	To Balance b/d		50,000	1,00,000	Apr 3	By Purchases A/c		12,000	-
			0						

Apr 5	To Sales A/c		18,000	-	Apr 7	By Bank A/c (Deposit)	C 1	15,000	-
Apr 7	To Cash A/c (Deposit)	C 1	-	15,000	Apr 12	By Rent A/c		-	8,000
Apr 10	To Ramesh (Cheque)		-	25,000	Apr 15	By Salaries A/c		6,000	-
Apr 18	To Bank A/c (Withdrawal)	C 2	10,000	-	Apr 18	By Cash A/c (Withdrawal)	C 2	-	10,000
Apr 22	To Sales A/c		-	30,000	Apr 20	By Stationery A/c		1,500	-
Apr 27	To Suresh		8,500	-	Apr 24	By Electricity Bill A/c		-	3,200
-	-	-	-	-	Apr 25	By M/s Gupta Bros		-	14,000
-	-	-	-	-	Apr 28	By Insurance A/c		-	4,000
-	-	-	-	-	Apr 30	By Drawings A/c		-	5,000
-	-	-	-	-	Apr 30	By Balance c/d		52,000	1,25,800
TOTAL			86,500	1,70,000	TOTAL			86,500	1,70,000
May 1	To Balance b/d		52,000	1,25,800					

Resulting Balances on April 30, 2026: Closing Cash in Hand = ₹52,000 | Closing Cash at Bank = ₹1,25,800.

QUESTION 10: What is a Trading Account? Explain its preparation and the calculation of gross profit or gross loss with an example.

1. Definition of Trading Account

A **Trading Account** is the first stage of Final Accounts prepared at the close of an accounting period. Its objective is to determine the **Gross Profit** or **Gross Loss** resulting directly from manufacturing, purchasing, and selling merchandise before taking into account indirect administrative and financial expenses.

2. Formulae & Components

- **Cost of Goods Sold (COGS)** = Opening Stock + Net Purchases + Direct Expenses - Closing Stock
- **Gross Profit** = Net Sales - Cost of Goods Sold (when Net Sales > COGS)
- **Gross Loss** = Cost of Goods Sold - Net Sales (when COGS > Net Sales)
- **Direct Expenses Include:** Carriage inward, freight, customs duty, factory wages, fuel, power, and factory rent.

3. Numerical Practical Example & Solution

Given Financial Data for M/s Apex Tech (Year ended March 31, 2026):

Opening Stock: ₹40,000 | Purchases: ₹1,50,000 | Purchase Returns: ₹5,000 | Sales: ₹2,80,000 | Sales Returns: ₹10,000 | Wages: ₹15,000 | Carriage Inward: ₹4,000 | Closing Stock (Valued at year end): ₹35,000.

Particulars		Particulars		
To Opening Stock	40,000	By Sales	2,80,000	
To Purchases (1,50,000 - 5,000)	1,45,000	Less: Sales Returns	(10,000)	2,70,000
To Wages (Direct)	15,000	By Closing Stock		35,000
To Carriage Inward	4,000			
To Gross Profit c/d (Balancing Fig.)	1,01,000			
TOTAL	3,05,000	TOTAL		3,05,000

Calculation Verification:

$COGS = ₹40,000 + ₹1,45,000 + ₹15,000 + ₹4,000 - ₹35,000 = ₹1,69,000.$

$Net\ Sales = ₹2,80,000 - ₹10,000 = ₹2,70,000.$

$Gross\ Profit = Net\ Sales - COGS = ₹2,70,000 - ₹1,69,000 = ₹1,01,000.$